

whistleblower retaliation is the existence of an employment relationship at the time of the allegedly retaliatory action, but there is no allegation that Plaintiff was ever an employee of CAP SOLANO or SCTA. (*Soukup v. Law Offices of Herbert Hafif* (2006) 39 Cal.4th 260, 287-288; *Bennett v. Rancho Cal. Water Dist.* (2019) 35 Cal.App.5th 908, 921.) Plaintiff appears unable to state a claim of fraud because Defendants CAP SOLANO and SCTA are absolutely immune from liability from any misrepresentations made by their employees (Gov. Code, § 818.8; *Masters v. San Bernardino County Employees Retirement Ass'n* (1995) 32 Cal.App.4th 30, 43) and Plaintiff did not allege the corruption or actual malice of any employee to have made any misrepresentation to overcome that employee's qualified immunity. (Gov. Code, § 822.2; *Masters*, 32 Cal.App.4th at 42).

While courts liberally grant leave to amend, it is improper to do so when a plaintiff cannot state a viable cause of action or show how she will amend the complaint to do so.

As the demurrers of CAP SOLANO JPA and SOLANO COUNTY TRANSPORTATION AUTHORITY are SUSTAINED WITHOUT LEAVE TO AMEND, the case is dismissed as to these defendants.

As the court has now sustained without leave to amend the demurrers of all named defendants, this case is DISMISSED WITH PREJUDICE. Any future dates, including Plaintiff's motion to compel scheduled October 1, 2026, motion for leave to amend the complaint scheduled December 3, 2026, and case management conference scheduled September 3, 2026, are vacated.

GRAVES v. KINDERCARE EDUC. LLC, ET AL.
Case No. CU26-00775

Petition to Compel Arbitration

TENTATIVE RULING:

Defendants' petition to compel arbitration is GRANTED.

Existence of Agreement to Arbitrate

A petitioner seeking to compel arbitration bears the burden of establishing the existence of a valid arbitration agreement and the respondent shoulders the burden of proving facts for nonenforcement. (*Rosenthal v. Great W. Fin. Sec. Corp.* (1996) 14 Cal.4th 394, 413; *Banner Entm't, Inc. v. Superior Court* (1998) 62 Cal.App.4th 348, 356.) Once a petitioner satisfies the burden of proving that an agreement to arbitrate exists, the opposing party has the burden of proving the facts of any defense to enforceability by a preponderance of the evidence. (*Engalla v. Permanente Med. Group, Inc.* (1997) 15 Cal.4th 951, 972; *Vasquez v. Greene Motors, Inc.* (2013) 214 Cal.App.4th 1172, 1182.)

Defendant is an Oregon professional corporation with locations across California and the United States. (Scrutton Decl., ¶ 3.) Plaintiff was employed for 4 months as a teacher at Defendant's Fairfield location. (Scrutton Decl., ¶ 3.)

There is no dispute that as part of the onboarding process, Plaintiff executed an arbitration agreement requiring the parties to arbitrate any "covered claims" arising between the parties. (Decl. of Scrutton, ¶ 5-6; Exhs. B and C.) "Covered claims" includes "all grievances, disputes, claims, causes of action ... arising out of or relating to [Plaintiff's] employment with KCE and the termination thereof." (*Ibid.*)

Agreement Is Not Unconscionable

Though California and federal law alike favor arbitration, general contract defenses such as unconscionability may be applied to invalidate arbitration agreements. (*OTO, L.L.C. v. Kho* (2019) 8 Cal.5th 111, 125 (*Kho*)). A contract is unconscionable if one of the parties lacked a meaningful choice in deciding whether to agree ("procedural unconscionability") and the contract contains terms that are unreasonably favorable to the other party ("substantive unconscionability"). (*Ibid.*) Both forms of unconscionability must be present for a contract to be found unconscionable overall, but a high degree of one form of unconscionability will reduce the amount of the other form that must be present in order to support an ultimate finding of unconscionability. (*Id.* at pp. 125-126.) The ultimate issue is whether a contract is sufficiently unfair in light of all of the circumstances that a court should refuse enforcement. (*Id.* at p. 126.) A party asserting unconscionability bears the burden of proof. (*Ibid.*)

Procedural unconscionability analysis begins with determining whether a contract is one of adhesion. (*Kho, supra*, 8 Cal.5th at p. 126.) A contract of adhesion is standardized, on a preprinted form, and presented on a "take it or leave it" basis. (*Ibid.*) After determining that a contract is one of adhesion a court must analyze whether the circumstances of the contract's formation created such oppression or surprise that further inspection of fairness should be done. (*Kho* at p. 126.) "Oppression" here refers to a lack of negotiation and meaningful choice; "surprise" to hiding contractual provisions within prolix printed forms. (*Ibid.*)

Circumstances relevant to establishing oppression include, without limitation, the amount of time given the party to consider the contract, pressure exerted on the party to sign, the length and complexity of the contract and the challenged provision, the education and experience of the party, and whether the party had the aid of an attorney. (*Kho, supra*, 8 Cal.5th at 126-127.)

Analysis of substantive unconscionability is a matter of seeking out terms that are overly harsh, unduly oppressive, or unfairly one-sided. (*Kho, supra*, 8 Cal.5th at pp. 129-130.) Unconscionable terms impair the integrity of the bargaining process, attempt to impermissibly alter fundamental legal duties, or otherwise contravene public interests and policies. (*Id.* at p. 130.) They might include, without limitation, fine-print terms, unreasonably or unexpectedly harsh terms regarding the central aspects of the

transaction, or terms that undermine the non-drafting party's reasonable expectations. (*Ibid.*)

Both procedural and substantive unconscionability must be present in order for the court to find a contract unenforceable due to unconscionability. However, procedural and substantive unconscionability need not be present in the same degree. A sliding scale is applied. That is, the more substantively oppressive the contract term, the less evidence of procedural unconscionability is required to come to the conclusion that the term is unenforceable, and vice versa. (*A&M Produce Co. v. FMC Corp.* (1982) 135 Cal.App.3d 473, 487).

Although Plaintiff presents no evidence of surprise or oppression, it is undisputed that the arbitration agreement was presented in a contract of adhesion as a condition of Plaintiff's employment. (Decl. of Scrutton, ¶¶ 6-8.) Accordingly, there is some minimum amount of procedural unconscionability. (*Ramirez v. Charter Communications, Inc.* (2024) 16 Cal.5th 478, 493; *Sanchez v. Valencia Holding Co., LLC* (2015) 61 Cal.4th 899, 915.)

However, Plaintiff has not demonstrated that the arbitration agreement is so permeated with substantive unconscionability that it cannot be enforced. The only substantive unconscionability alleged is that the agreement contains a term limiting discovery to only a single interrogatory limited to the identification of potential witnesses, 25 requests for production of documents, and two eight-hour days of depositions, with the arbitrator permitted to allow additional discovery only upon a showing of "substantial need" or "an inability to pursue or defend certain claims without such additional discovery." (Decl. of Scrutton, Exh. C.) Given that the employer already has in its possession much of the documents that would be relevant to employment-related claims against it and has in its employ many of the relevant witnesses, and the agreement allows the arbitrator to permit additional discovery only upon a finding of "substantial need" or complete "inability" to pursue a claim, the discovery clause is substantively unconscionable. (*Ramirez*, 16 Cal.5th at 506; *Fitz v. NCR Corp.* (2004) 118 Cal.App.4th 702, 716-717.) But, Plaintiff presents no reason why this singular unlawful provision should not simply be severed from the agreement and the remainder enforced while discovery is conducted pursuant to AAA rules. (See, *Fitz*, 118 Cal.App.4th at 726 [more than one unlawful provision in an agreement may weigh against severance].)

EFAA Does Not Apply

By its terms, and Defendant's status as a multi-state employer, the Federal Arbitration Act ("FAA" 9 U.S.C. § 1 et seq.) controls. (Scrutton, Exh. C.)

The Ending Forced Arbitration of Sexual Assault and Sexual Harassment Act of 2021 ("EFAA"; 9 U.S.C. §§401-402) creates the opportunity for a plaintiff to elect exemption from compelled arbitration under the Federal Arbitration Act for cases that involve disputes related to conduct that is alleged to constitute sexual assault or sexual harassment under applicable Federal, Tribal or State law. (9 U.S.C. §§ 401(4), 402(a);

Casey v. Superior Court (2025) 108 Cal.App. 5th 575, 587 [purpose of EFAA is to allow plaintiff claiming sexual harassment access to public forum]; *Doe v. Second Street Corp.* (2024) 105 Cal.App.5th 552, 565 [EFAA legislative history shows intent to prohibit compelled arbitration of sexual assault or sexual harassment complaints and allow public proceedings].) The EFAA defines “sexual harassment dispute” to mean conduct that is alleged to constitute sexual harassment under applicable federal, tribal or state law. (9 U.S.C. § 401(4).)

California’s Fair Employment and Housing Act protects against harassment because of sex including sexual harassment, gender harassment and harassment based on pregnancy. (Govt. Code, §§ 12926(r); 12940.) Sex discrimination and sexual harassment are distinct wrongs under FEHA. (*Reno v. Baird* (1998) 18 Cal.4th 640, 645.) Discrimination arises from “official” or “explicit” changes in the “terms, conditions or privileges of employment” by an employer; harassment focuses on situations in the social environment of the workplace that become intolerable because the harassment – verbal, physical or visual – communicates an offensive message to the harassed employee. (*Roby v. McKesson Corp.* (2009) 47 Cal.4th 686, 706; *Doe v. Department of Corrections & Rehabilitation* (2019) 43 Cal.App.5th 721, 736.)

Sexually harassing conduct may be either “quid pro quo” or “hostile work environment” sexual harassment. (2 CCR, § 11034(f).) Harassment includes but is not limited to:

- (A) Verbal harassment, e.g. epithets, derogatory comments or slurs on a basis enumerated in FEHA;
- (B) Physical harassment, e.g., assault, impeding or blocking movement, or any physical interference with normal work or movement, when directed at an individual on a basis enumerated in the Act;
- (C) Visual forms harassment, e.g. derogatory posters, cartoons, or drawings on a basis enumerated in the Act; or
- (D) Sexual favors, e.g. unwanted sexual advances, which condition an employment benefit upon an exchange of sexual favors. (2 CCR., § 11019(b).)

The underlying complaint alleges pregnancy discrimination including (a) the failure to supply uniforms to Plaintiff due to her pregnancy (§ 22); unspecified different treatment due to Plaintiff’s pregnancy (§ 23); Defendant’s failure to timely return Plaintiff to work following pregnancy disability leave (§§ 23-27); and Defendant’s termination of Plaintiff after she took pregnancy leave (§§ 27-29). The complaint does not allege severe or pervasive facts establishing a hostile work environment based upon Plaintiff’s sex or pregnancy. (See *Aguilar v. Avis Rent A Car Sys., Inc.* (1999) 21 Cal.4th 121, 131 [acts of harassment cannot be occasional, isolated, sporadic, or trivial]. (*Aguilar*, 21 Cal.4th at 131.)

Personnel actions do not come within the meaning of harassment. (*Reno, supra* at pp. 646-647.) Cases cited by Plaintiff apply the EFAA in situations in which sexual

harassment arose. (See *Decloedt v. Radnet Mgmt., Inc.* (2026) 121 Cal.App.5th 732, 743 [hostile work environment based on sexual orientation]; *Liu v. Miniso Depot CA, Inc.* (2024) (2024) 105 Cal.App.5th 791, 796-797, [multiple sexual or derogatory sexual comments]; *Doe v. Second Street Corp.* (2024) 105 Cal.App.5th 552, 558 [hostile work environment claim when employer scheduled employee with coworker who had sexually assaulted plaintiff; *Casey, supra* at p. 581 [sexual remarks by coworker]; *Quilala v. Securitas Security Services USA, Inc.* (2025) 117 Cal.App.5th 75, 81 [questions about sexual activity, rumors about sexual orientation, mocking use of Mrs. instead of Mr. by supervisor].)

In essence, the complaint does not allege sexual harassment; it does allege discrimination in the terms and conditions of Plaintiff's employment by her employer based on pregnancy and sex. (*Reno, supra* at p. 645; *Roby, supra* at p. 706.) To construe the EFAA to extend to claims of pregnancy discrimination rather than sexual assault or sexual harassment would undermine the federal policy favoring arbitration. (*AT&T Mobility v. Concepcion* (2011) 563 U.S. 333, 339.)

Accordingly, Plaintiff's suit is not exempt from the FAA by the EFAA. Likewise, it is not exempt under the express terms of the arbitration agreement.

Defendants' petition to compel arbitration is GRANTED. The action shall be stayed pending completion of the arbitration. (Code Civ. Proc. § 1281.4.) The parties shall contact AAA to initiate an arbitration in the next 30 days. An arbitration review date is scheduled for **October 14, 2027 at 8:30 a.m.** Updated CMC statements to be filed 15 days prior to the hearing.

Department 8 is inviting you to a scheduled ZoomGov meeting.

<https://solano-courts-ca-gov.zoomgov.com/j/1619704645?pwd=aUwyYUFUcU5Eazl6SEkrcmcrRnRLUT09>

Meeting ID: 161 970 4645
Passcode: 675002